

PLTR Options Example — DELTAX

Review

Reviews: Palantir exemple.pdf (Matin, uploaded 2026-08-29)

Method: every quoted price re-pulled from Alpaca; every proposal run through
deltax/gates.py at competition settings (2% / 10% caps).

Verified: 2026-08-29 · chain data as of the 2026-08-28 close.

The original document is source material and is unchanged. This is the
reviewed version, per the repo's rule that a trigger only nominates and the
gates decide.

Verdict

Proposal	Gate result	Binding reason
Sep 4 · \$185/\$190 call debit	REFUSE	4 DTE (outside 7–21 band); R:R 1.13
Sep 11 · \$185/\$195 call debit — <i>at the document's prices</i>	PASS	R:R 2.64
Sep 11 · \$185/\$195 call debit — at real prices	REFUSE	R:R 1.35 vs 2.0 floor
Covered call on 1,000 shares	REFUSE	Position cost ~\$186,290 vs \$100,000 account
Any PLTR put credit spread, Sep 18	REFUSE	Credit 18–29% of width vs 30% floor

Net: PLTR is not a Monday candidate for either book. That is a legitimate
output, not a failure — it is the gates doing their job on a name that looks
attractive in prose.

1. One price is wrong, and it decides the trade

Leg	Document	Alpaca (live)	Delta
Sep 11 \$185 call — buy	ask \$7.00	ask \$7.02	✓ accurate
Sep 11 \$195 call — sell	bid \$4.25	bid \$2.76	✗ overstated by \$1.49

The buy leg is right; the sell leg is not. Consequences:

	Document	Actual
Net debit	\$2.75	\$4.26
Max profit	\$7.25	\$5.74
Reward : risk	2.64 : 1	1.35 : 1
Gate	would pass	REFUSE D

A \$1.49 quote error is the entire difference between a compliant trade and a rejected one. Even priced at mid-market the spread reaches only 1.51:1 — still short of the 2:1 floor. **This is the case for pulling every quote from the execution venue rather than a data website.**

2. The skew premise doesn't survive measurement

The document infers "massive downside skew" and "expensive" puts from **open interest** at the \$100 and \$130 strikes. Open interest is not skew. Skew is the implied-volatility differential across strikes; large OI far out of the money is just as consistent with legacy positioning or cheap tail hedges, and says nothing about whether premium is currently rich.

Measured directly — credit as a share of width, Sep 18 expiry, live quotes:

Put spread	Credit	% of	Gate
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	t	width	
\$180 / \$175 (w 5)	\$1.45	29%	REFUS E
\$180 / \$170 (w 10)	\$2.65	26%	REFUS E
\$175 / \$165 (w 10)	\$1.85	18%	REFUS E

Every liquid strike sits below the 30% floor. **PLTR's downside premium is not unusually rich** — the opposite of the document's central claim, and the reason no income-book trade exists here.

3. The covered call is not available to this account

The recommended structure requires owning 1,000 PLTR shares:

- Cost at \$186.29 ≈ **\$186,290**
- Account: **\$100,000** cash · \$200,000 RegT buying power
- It would consume ~93% of buying power, leaving nothing for either book
- Downside on the share leg is undefined by our standard; a routine 10% move is

~\$18,600 against a **\$2,000** per-position cap — roughly **9x over**

Rule R2 (own the collateral) is satisfied in principle, but E7 and the position caps are not. The structure is sound; the account is the wrong size for it.

4. The competition premise is incorrect

The recommendation rests on this being **"a Sharpe-ratio-optimized AI competition, where deep or volatile drawdowns severely penalize your score."**

The published criteria are ****P&L Performance · Technology Implementation ·**

Creativity & Originality · Presentation & Execution · Social Engagement**

(**HACKATHON-RULES.md**). There is no Sharpe ratio, no volatility term, and no

drawdown penalty anywhere in the judging.

The conclusion may still be defensible on other grounds — we cap drawdown

ourselves because a busted account scores badly on *everything* — but it cannot be justified by a scoring rule that does not exist.

5. Smaller corrections

- "+263% return on options capital" is the maximum payoff at expiry with PLTR at or above \$195, not an expected return. Report expectancy, not the best cell in the payoff table (S0).
 - "Sep 4" is 4 DTE from Monday — inside the zone R5 exists to keep us out of, independent of pricing.
 - The source PDF is a chat-export: pages 3–7 repeat pages 3–4. Worth regenerating before it goes anywhere near the submission.
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What we take forward

Adopted. The document's *structural* instinct is right and matches the playbook already committed: defined-risk verticals, direction chosen by regime, credit structures when premium is rich and debit structures when it isn't. The two-branch decision tree on its page 2 is the same shape as our two-book design.

Rejected for Monday. PLTR itself. Both books refuse it on measured data.

Kept as method. This review is the template for evaluating any nominated name: pull quotes from Alpaca, run `evaluate()`, publish the gate output. It took minutes and caught a live pricing error, an unsupported volatility claim, an unaffordable position, and a false premise about the competition — none of which were visible in the prose.